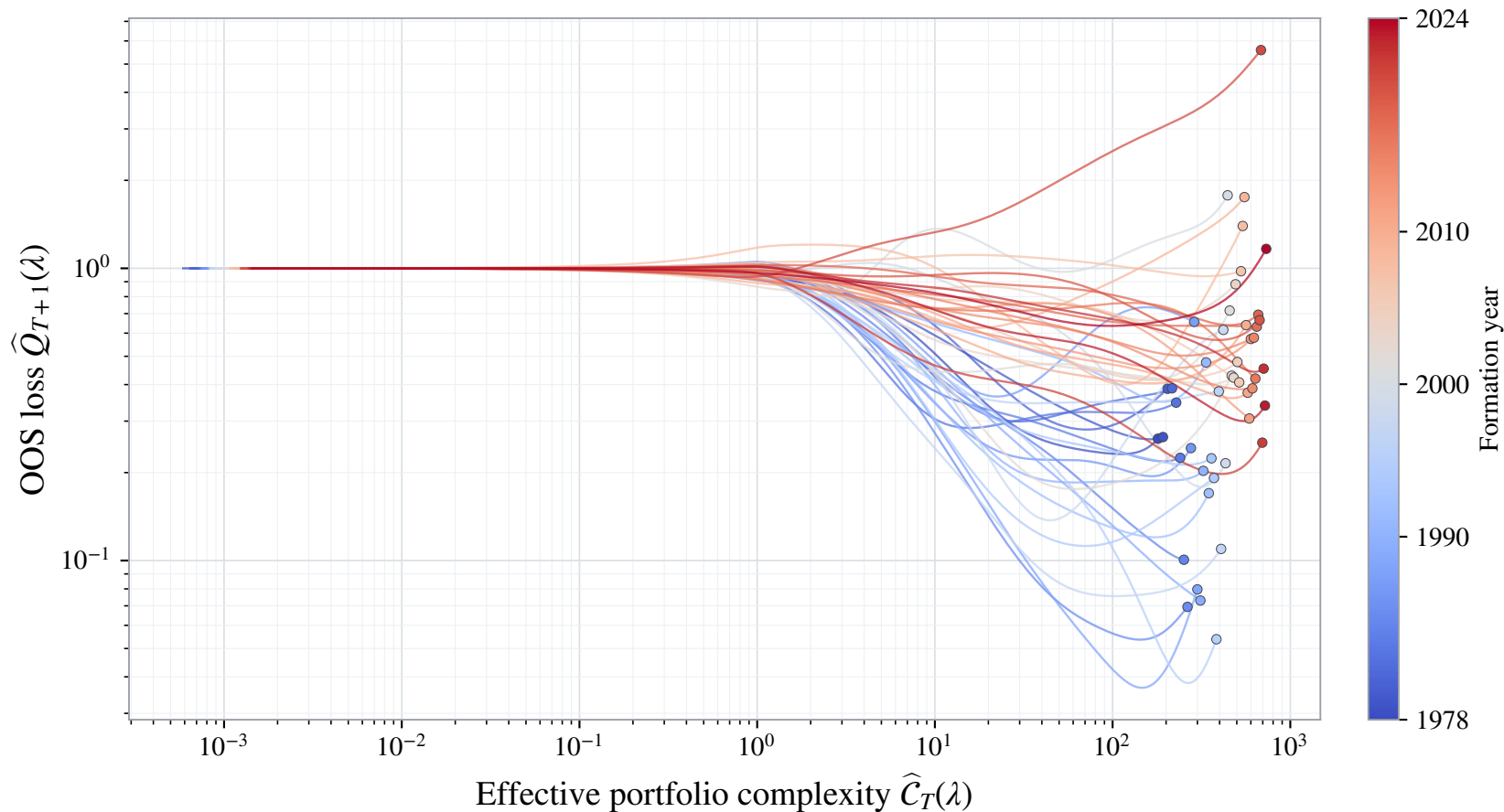


Out-of-sample loss and portfolio complexity

Matérn-3/2 · 200 initial C_0 candidates · 1,202 diagnostic points per year



Each line: one annual refit, evaluated on its 12 subsequent monthly payoffs.

February-January payoffs. Endpoint dots mark exact $\lambda=0$; complexity reaches historical rank.